

ORDER SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Civil Revision No.3640 of 2016

M/s Pakistan Ordnance Factories through its, Manager Legal Wah Cantt. etc.

Versus

Chelsea Global Private Limited

S.No. of order/ Proceeding	Date of order/ proceeding	Order with signature of Judge and that of parties or counsel, where necessary
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07.09.2016 Mr. Salman Hanif Rajput, Advocate for the petitioners.

This civil revision in terms of Section 115 of The Code of Civil Procedure (V of 1908) (hereinafter referred as “CPC”) questions the vires of order dated 12th of March, 2016, whereby the learned Civil Judge 1st Class, Lahore dismissed the application moved by the petitioners under Order VII Rule 10 of “CPC” for return of plaint.

2. The facts in precision necessary for adjudication of instant petition are that the respondent instituted a suit for recovery of outstanding amount alongwith damages for breach of contract before the learned Senior Civil Judge, Lahore. The petitioners, being the defendants submitted their written statement controverting the assertions contained in the plaint. When the proceedings were under way, an application was moved by the petitioners under Order VII Rule 10 of “CPC” for the return of plaint. The application was contested by the respondent and ultimately it was dismissed vide order dated 12th of March, 2016, which is impugned herein.

3. Learned counsel for the petitioners submitted that in terms of Section 20 of “CPC” only the Civil Court at

District Rawalpindi is competent to adjudicate the suit in hand. He added that neither the contract was executed in Lahore nor the performance was made within the territorial limits of the learned Civil Court at Lahore. Learned counsel maintains that on account of lack of territorial jurisdiction, the learned Civil Judge was bound to return the plaint enabling the respondent to present it before the appropriate forum. It is emphatically argued that impugned order is not tenable under the law. It is emphatically argued that impugned order is not tenable under the law.

4. I have heard learned counsel for the petitioners at some length and also perused the record.

5. The matter in issue solely relates to the territorial jurisdiction of the Civil Court and there is no conflict that Section 20 of “CPC” caters the question of territorial limits. For the sake of guidance and connivance, the same is reproduced below :-

“20. Other suits to be instituted where defendants reside or cause of action arises.---Subject to the limitations aforesaid, every suit shall be in a Court within the local limits of whose jurisdiction.

(a) the defendant, or each of the defendants where there are more than one, at the time of the commencement of the suit, actually and voluntarily resides, or carries on business, or personally works for gain; or

(b) any of the defendants, where there are more than one, at the time of the commencement of the suit, actually and voluntarily resides, or carries on business, or personally works for gain, provided that in such case either the leave of the Court is given, or the defendants who do not reside, or carry on business, or personally work for gain as aforesaid, acquiesce in such institution; or

(c) the cause of action, wholly or in part, arises.”

(Underlining is supplied for emphasis)

Perusal of above referred provision of law leaves no ambiguity that the instant matter requires determination in terms of clause (c) which postulates that a suit can be instituted in a court within the local limits whose jurisdiction cause of action wholly or in part arises. The term “cause of action” is nowhere defined in “CPC”, however, it can safely be termed as an act or omission of one party in violation of the legal right of the other. The plenary meaning of the said term can also be traced in the law dictionaries. Black’s Law Dictionary Ninth Edition by Bryan A. Garner Editor in Chief, defines “cause of action” as under :-

“A group of operative facts giving rise to one or more bases for suing; a factual situation that entitles one person to obtain a remedy in court from another person”

Guidance in this respect can also be sought from **“ABDUL HAKIM AND 2 OTHERS versus SAADULLAH KHAN AND 2 OTHERS” (PLD 1970 Supreme Court 63)** wherein Hon’ble Supreme Court of Pakistan held as under :-

“The expression "cause of action" in Order II, rule 2, C. P. C means the cause of action for which a suit is brought. In order that the cause of action for the two suits may be the same, it is necessary not only that the facts which would entitle the plaintiff to the right claimed must be the same but also that the infringement of his right at the hands of the defendants complained against in the two suits, must have arisen in substance out of the same transaction. In considering the application of this bar, regard is to be had to the allegations in the two suits without reference to the defence that may be set up by the defendants. As laid down by their Lordships of the Privy Council in *Muhammad Khalil Khan and others v. Mahbub Ali Mian and others* (1) “the bar under Order II, rule 2 refers

entirely to the grounds set out in the plaint as the cause of action or, in other words, to the media upon which the plaintiff asks the Court to arrive at a conclusion in his favour”.....”

A learned Division Bench of this Court in the case of **“M. KHURRAM MUGGO versus Mst. PERVEEN HAMEED MUGGO and 3 others” (PLD 2007 Lahore 518)** also elaborated the term in the following words :-

“7. We have heard the learned counsel for the parties. Before proceeding to examine the validity and the legality of the impugned order, we deem it expedient to briefly state as to what the term "cause of action" means and what are the broad principles which must be kept into view by the Court for the rejection of the plaint on the account. The expression "cause of action" has been compendiously defined to mean every fact, which it would be necessary for the plaintiff to prove, if traversed, in order to support his right to the judgment of the Court. It does not comprise every piece of evidence, which is necessary to prove each fact but every fact which is necessary to be proved. It means action for which the defendant is answerable to the Court; everything which, if not proved, would give the defendant a right to an immediate judgment, must be part of cause of action. In support of the above, reference can be made to Muhammad Khalil Khan and others v. Mahbub Ali Mian and others PLD 1948 PC 131. According to the judgment reported as Abdul Hakim and 2 others v. Saadullah Khan and 2 others PLD 1970 SC 63, the term "cause of action" refers to every fact which if traversed, it should be necessary for the plaintiff to prove in order to support his right to judgment and if not proved, gives the defendant a right to judgment. In Haji Mitha Khan v. Muhammad Younus and 2 others 1991 SCMR 2030, it is held "it means the whole of the material facts which it is necessary for the

plaintiff to allege and prove in order to succeed."; as per the judgment reported as Said and others v. Fazal Hussain and others PLD 1959 SC 356, it means the totality of essential facts, which it is necessary for the plaintiff to prove before he can succeed.....”

The above survey leaves no further room except to hold that every limb of action for which the defendant is answerable to the court forms part of a cause of action.

6. When instant case is examined on above perspective, it becomes crystal clear that for determining the question of territorial jurisdiction of a court averments in the pleadings play a significant and pivotal role. Para No.28 of the plaint specifically deal with the accrual of cause of action wherein it is asserted that the contract was entered into in Lahore as the defendants (petitioners) signed and sent the contract to the plaintiff's (respondent's) main office situated at Lahore where he signed and accepted the same. While responding this para, no denial was made to the fact that the contract was sent to the respondent in his main office situated at Lahore for the purpose of signing in token of acceptance. This aspect is even established from a letter dated 02nd of February, 2008 sent by the petitioners addressed to respondent which is available at page No.89 of the instant petition. Section 20 of “CPC” gives an option to the plaintiff to choose his forum for instituting the suit where the cause of action wholly or in part arises.

7. In view of discussion made hereinabove, I have no hesitation to hold that the suit was rightly instituted before the Civil Court at Lahore and application filed by the petitioners for return of plaint was not maintainable. The same was rightly turned down by the learned Civil

Judge by way of impugned order dated 12th of March, 2016. The petitioners have failed to point out any illegality or material irregularity in the order under challenge warranting interference by this Court in terms of Section 115 of “CPC”, resultantly the instant petition being devoid of any merits is **dismissed in limine**.

(MIRZA VIQAS RAUF)
JUDGE

Shahbaz Ali*

APPROVED FOR REPORTING